

Article 1. Regulation of Real Estate Brokers, Salespersons and Rental Location Agents.

§ 54.1-2100. Definitions.

As used in this chapter:

"Branch office" means any place of business of a principal broker in the Commonwealth that is not his primary place of business.

"Distance learning" means instruction delivered by an approved provider through a medium other than a classroom setting. Such courses shall be those offered by an accredited institution of higher education, high school offering adult distributive education courses, other school or educational institution, or real estate professional association or related entities.

"Place of business" means a location where the principal broker, or individuals or business entities employed by or affiliated as an independent contractor with the principal broker, regularly transacts the business of a real estate broker or salesperson. The primary place of business is the physical address provided on the firm license application form submitted to the Real Estate Board.

"Real estate broker" means any individual or business entity, including a partnership, association, corporation, or limited liability company, who, for compensation or valuable consideration, (i) sells or offers for sale, buys or offers to buy, or negotiates the purchase or sale or exchange of real estate, including units or interest in condominiums, cooperative interest as defined in § 55.1-2100 (<https://law.lis.virginia.gov/vacode/55.1-2100/>), or time-shares in a time-share program even though they may be deemed to be securities; (ii) leases or offers to lease, or rents or offers for rent, any real estate or the improvements thereon for others; or (iii) sells or offers to sell, buys or offers to buy, negotiates, or otherwise deals in real estate contracts, including assignable contracts, on two or more occasions in any 12-month period.

"Real estate salesperson" means any individual or business entity who is employed either directly or indirectly by, or affiliated as an independent contractor with, a real estate broker to perform the duties of a real estate broker for compensation or valuable consideration.

"Real estate team" means two or more individuals, one or more of whom is a real estate salesperson or broker, who (i) work together as a unit within the same brokerage firm, (ii) represent themselves to the public as working together as one unit, and (iii) designate themselves by a fictitious name.

"Supervising broker" means a real estate broker who has been designated by a principal broker to supervise the provision of real estate brokerage services by associate brokers and salespersons assigned to a branch office or a real estate team.

Code 1950, § 54-730; 1974, c. 409; 1982, c. 440; 1984, c. 283; 1988, c. 765; 1996, c. 993 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?961+ful+CHAP0993>); 2001, c. 548 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?011+ful+CHAP0548>); 2007, c. 809 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?071+ful+CHAP0809>); 2018, cc. 223 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0223>), 224 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0224>); 2024, cc. 327 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0327>), 352 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0352>), 459 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0459>), 621 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0621>).

§ 54.1-2101. Repealed.

Repealed by Acts 2024, cc. 459 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0459>) and 621 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0621>), cl. 2, effective July 1, 2024.

§ 54.1-2101.1. Preparation of real estate contracts by real estate licensees; translation.

Notwithstanding any rule of court to the contrary, any person licensed under this chapter may prepare written contracts for the sale, purchase, option, exchange, or rental of real estate, provided that the preparation of such contracts is incidental to a real estate transaction in which the licensee (i) is involved and (ii) does not charge a separate fee for preparing the contracts.

If a party to a real estate transaction requests translation of a contract or other real estate document from the English language to another language, a licensee may assist such party in obtaining a translator or may refer such party to an electronic translation service. The licensee shall not charge a fee for such assistance or referral. In doing so, the licensee shall not be deemed to have breached any of his obligations under this chapter or otherwise become liable for any inaccuracies in the translation.

1997, cc. 200 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?971+ful+CHAP0200>), 231 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?971+ful+CHAP0231>); 2018, cc. 39 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0039>), 87 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0087>).

§ 54.1-2102. Repealed.

Repealed by Acts 1992, c. 84.

§ 54.1-2103. Exemptions from chapter.

A. The provisions of this chapter shall not apply to:

1. Any person, partnership, association, corporation, entity, or their regular employees, who as owner or lessor perform any of the acts enumerated in § 54.1-2100 (<https://law.lis.virginia.gov/vacode/54.1-2100/>) with reference to property owned or leased by them, where the acts are performed in the regular course of or incident to the management of the property and the investment therein. For property governed by the Virginia Real Estate Time-Share Act (§ 55.1-2200 (<https://law.lis.virginia.gov/vacode/55.1-2200/>) et seq.), the term "owner" for purposes of this subdivision shall include affiliated entities, provided that (i) the owner has a controlling interest in the affiliated entity or (ii) the affiliated entity and the owner have a common parent company;

2. Any person acting without compensation as attorney-in-fact under a power of attorney issued by a property owner solely for the purpose of authorizing the final performance required of such owner under a contract for the sale, lease, purchase, or exchange of real estate;

3. Service rendered by an attorney-at-law in the performance of his duties as such;

4. A person acting as a receiver, trustee in bankruptcy, administrator, or executor, or any person selling real estate under order of any court;

5. A trustee acting under a trust agreement, deed of trust, or will, or the regular salaried employees thereof;

6. Any corporation managing rental housing when the officers, directors, and members in the ownership corporation and the management corporation are the same and the management corporation manages no other property for other persons, partnerships, associations, or corporations;

7. Any existing tenant of a residential dwelling unit who refers a prospective tenant to the owner of the unit or to the owner's duly authorized agent or employee and for the referral receives, or is offered, a referral fee from the owner, agent, or employee;

8. Any auctioneer licensed in accordance with Chapter 6 (§ 54.1-600 (<https://law.lis.virginia.gov/vacode/54.1-600/>), et seq.) selling real estate at public auction when employed for such purpose by the owner of the real estate and provided the bidding at such auction is held open for no longer than 48 hours. An auctioneer shall not advertise that he is authorized to sell real estate. An auctioneer may advertise for sale at public auction any real estate when employed to do so as herein provided, and may advertise that he is authorized to auction real estate at public auction;

9. [Expired.]

10. Any person who is licensed and is in good standing as a real estate broker or salesperson in another state, and who assists a prospective purchaser, tenant, optionee, or licensee located in another state to purchase, lease, option, or license an interest in commercial real estate, as defined in § 55.1-1100 (<https://law.lis.virginia.gov/vacode/55.1-1100/>), in the Commonwealth. Such real estate licensee from another state may be compensated by a real estate broker in the Commonwealth. Nothing in this subdivision shall be construed to permit any person not licensed and in good standing as a real estate broker or salesperson in the Commonwealth to otherwise act as a real estate broker or salesperson under this chapter.

B. The provisions of this chapter shall not prohibit the selling of real estate (i) by an attorney-at-law in the performance of his duties as such, (ii) by a receiver, trustee in bankruptcy, administrator, executor, or special commissioner, or any person selling real estate under order of court, or (iii) by a trustee acting under the trust agreement, deed of trust, or will, or the regular salaried employees thereof.

C. The provisions of this chapter shall not apply to any person employed by a licensed real estate broker for and on behalf of the owner of any real estate or the improvements thereon that the licensed broker has contracted to manage for the owner if the actions of such employee are limited to (i) exhibiting residential units on such real estate to prospective tenants, if the employee is employed on the premises of such real estate; (ii) providing prospective tenants with factual information about the rental of residential real estate; (iii) accepting applications for the rental of such real estate; (iv) accepting and signing broker-approved rental agreements, state or federal required disclosures, and any documents required for compliance with Chapter 5.1 (§ 36-96.1

(<https://law.lis.virginia.gov/vacode/36-96.1/>) et seq.) of Title 36 related to such rental transaction; and (v) accepting security deposits, periodic rent, and other payments as contracted for in the rental agreement for such real estate. Such deposits and rent shall be made payable to the owner or the broker employed by such owner. The employee shall not negotiate the amounts of such security deposits, periodic rent, or other payments contracted for in the rental agreement and shall not negotiate any rental agreements on behalf of such owner or broker.

D. A licensee of the Board shall comply with the Board's regulations, notwithstanding the fact that the licensee would be otherwise exempt from licensure under subsection A. Nothing in this subsection shall be construed to require a person to be licensed in accordance with this chapter if he would be otherwise exempt from such licensure.

E. An attorney-at-law referring a client to a licensee shall not be entitled to receive any compensation from a listing firm or offered by a common source information company to cooperating brokers, unless the attorney is also licensed under this chapter as a real estate broker or salesperson.

Code 1950, § 54-734; 1972, c. 324; 1973, cc. 487, 527; 1975, c. 238; 1980, c. 127; 1982, cc. 633, 682; 1988, c. 765; 1992, c. 84; 1993, cc. 816, 899; 1995, c. [227](http://legacylis.virginia.gov/cgi-bin/legp604.exe?951+ful+CHAP0227) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?951+ful+CHAP0227>); 1998, cc. [261](http://legacylis.virginia.gov/cgi-bin/legp604.exe?981+ful+CHAP0261) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?981+ful+CHAP0261>), [262](http://legacylis.virginia.gov/cgi-bin/legp604.exe?981+ful+CHAP0262) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?981+ful+CHAP0262>); 2001, Sp. Sess. I, c. [9](http://legacylis.virginia.gov/cgi-bin/legp604.exe?011+ful+CHAP0009) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?011+ful+CHAP0009>); 2009, cc. [88](http://legacylis.virginia.gov/cgi-bin/legp604.exe?091+ful+CHAP0088) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?091+ful+CHAP0088>), [262](http://legacylis.virginia.gov/cgi-bin/legp604.exe?091+ful+CHAP0262) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?091+ful+CHAP0262>); 2015, cc. [24](http://legacylis.virginia.gov/cgi-bin/legp604.exe?151+ful+CHAP0024) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?151+ful+CHAP0024>), [272](http://legacylis.virginia.gov/cgi-bin/legp604.exe?151+ful+CHAP0272) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?151+ful+CHAP0272>); 2024, cc. [459](http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0459) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0459>), [621](http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0621) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0621>); 2025, cc. [463](https://lis.virginia.gov/bill-details/20251/HB2557/text/CHAP0463) (<https://lis.virginia.gov/bill-details/20251/HB2557/text/CHAP0463>), [466](https://lis.virginia.gov/bill-details/20251/SB993/text/CHAP0466) (<https://lis.virginia.gov/bill-details/20251/SB993/text/CHAP0466>).

§ 54.1-2104. Real Estate Board; membership; chairman; seal.

The Real Estate Board shall be composed of nine members as follows: seven members who have been actively engaged as licensed real estate brokers or salespersons for at least seven consecutive years before their appointment and two citizen members. Of the members licensed as real estate brokers or salespersons, (i) at least one shall have proficiency and experience in the area of residential property management and (ii) each shall have acknowledged ability in the profession as evidenced by possessing at least one of the following qualifications: (a) experience in real estate credentialing or certification, (b) certification by the Board as a real estate instructor, or (c) training or experience in the adjudication of other real estate licensees. The terms of Board members shall be four years.

The Board shall elect a chairman from its membership.

The Board shall adopt a seal by which it shall authenticate its proceedings.

Code 1950, §§ 54-737, 54-738, 54-739, 54-744; 1956, c. 145; 1981, c. 447; 1984, c. 201; 1985, c. 448; 1988, cc. 42, 765; 1992, c. 809; 2010, c. [91](http://legacylis.virginia.gov/cgi-bin/legp604.exe?101+ful+CHAP0091) (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?101+ful+CHAP0091>); 2025, cc. [609](https://lis.virginia.gov/bill-details/20251/SB866/text/CHAP0609) (<https://lis.virginia.gov/bill-details/20251/SB866/text/CHAP0609>), [654](https://lis.virginia.gov/bill-details/20251/HB2210/text/CHAP0654) (<https://lis.virginia.gov/bill-details/20251/HB2210/text/CHAP0654>).

§ 54.1-2105. General powers of Real Estate Board; regulations; educational and experience requirements for licensure.

A. The Board may do all things necessary and convenient for carrying into effect the provisions of this chapter and may promulgate necessary regulations.

B. The Board shall adopt regulations establishing minimum educational requirements as conditions for licensure. Board regulations relating to initial licensure shall include the following requirements:

1. Every applicant for an initial license as a real estate salesperson shall have:

- a. At a minimum, a high school diploma or its equivalent; and
- b. Completed a course in the principles of real estate that carried an academic credit of at least four semester hours, but not less than 60 hours of classroom, correspondence, or other distance learning instruction, offered by an accredited institution of higher education, high school offering adult distributive education courses, or other school or educational institution offering an equivalent course.

2. Every applicant for an initial license as a real estate broker shall have:

- a. At a minimum, a high school diploma or its equivalent; and
- b. Completed not less than 12 semester hours of classroom or correspondence or other distance learning instruction in real estate courses offered by an accredited institution of higher education or other school or educational institution offering equivalent courses.

3. Every applicant for a license by reciprocity as a real estate salesperson or real estate broker shall have:

- a. Completed a course in the principles of real estate that is comparable in content and duration and scope to that required in subdivision 1 or 12 semester hours of classroom or correspondence or other distance learning instruction in real estate courses that are comparable in content and duration and scope to that required in subdivision 2; and
- b. If currently licensed by another state as a real estate salesperson or broker, passed Virginia's examination.

C. The Board may waive any requirement under the regulations relating to education or experience when the broker or salesperson is found to have education or experience equivalent to that required. No regulation imposing educational requirements for initial licensure beyond those specified by law shall apply to any person who was licensed prior to July 1, 1975, and who has been continuously licensed since that time, except that licensure as a salesperson prior to such time shall not exempt a salesperson who seeks to be licensed as a broker from the educational requirements established for brokers.

D. The Board shall establish criteria to ensure that prelicensure and broker licensure courses meet the standards of quality deemed by the Board to be necessary to protect the public interests. For correspondence and other distance learning instruction offered by an approved provider, such criteria may include appropriate testing procedures. The Board may establish procedures to ensure the quality of the courses.

Noncollegiate institutions shall not be authorized to grant collegiate semester hours for academic credit.

The specific content of the real estate courses shall be in real estate brokerage, real estate finance, real estate appraisal, real estate law, and such related subjects as are approved by the Board.

- E. The Board may establish criteria delineating the permitted activities of unlicensed individuals employed by, or affiliated as an independent contractor with, real estate licensees or under the supervision of a real estate broker.
- F. The Board may take a disciplinary case against a licensee under advisement, defer a finding in such case, and dismiss such action upon terms and conditions set by the Board.
- G. Notwithstanding any other provision of law, the Board shall not charge a fee to a licensee for the transfer of such licensee between offices within a licensed real estate firm, including from such firm's primary place of business to one of its branch offices, or from a branch office to another branch office under the same primary place of business.

Code 1950, § 54-740; 1974, c. 663; 1977, c. 3; 1980, c. 571; 1981, c. 117; 1984, cc. 201, 283; 1985, c. 116; 1988, cc. 9, 765; 1989, c. 244; 1991, c. 576; 1992, cc. 65, 446, 624, 717; 1995, c. 125 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?951+ful+CHAP0125>); 1996, cc. 890 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?961+ful+CHAP0890>), 903 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?961+ful+CHAP0903>); 1997, c. 389 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?971+ful+CHAP0389>); 1998, c. 268 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?981+ful+CHAP0268>); 2000, c. 759 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?001+ful+CHAP0759>); 2003, cc. 998 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?031+ful+CHAP0998>), 1027 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?031+ful+CHAP1027>); 2006, cc. 61 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?061+ful+CHAP0061>), 627 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?061+ful+CHAP0627>); 2007, c. 809 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?071+ful+CHAP0809>); 2010, cc. 373 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?101+ful+CHAP0373>), 637 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?101+ful+CHAP0637>); 2012, c. 750 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?121+ful+CHAP0750>); 2016, c. 334 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?161+ful+CHAP0334>); 2019, cc. 179 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?191+ful+CHAP0179>), 395 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?191+ful+CHAP0395>); 2025, cc. 122 (<https://lis.virginia.gov/bill-details/20251/HB1653/text/CHAP0122>), 129 (<https://lis.virginia.gov/bill-details/20251/SB785/text/CHAP0129>).

§ 54.1-2105.01. Educational requirements for all salespersons within one year of licensure.

- A. The Board shall establish guidelines for a post-license educational curriculum of at least 30 hours of classroom, or correspondence or other distance learning, instruction, in specified areas, which shall be required of all salespersons within the initial year of licensure. Failure of a new licensee to complete the 30-hour post-licensure curriculum within one year from the last day of the month in which his license was issued shall result in the license being placed on inactive status by the Board until the curriculum has been completed.
- B. To establish the guidelines required by this section, the Board shall establish an industry advisory group composed of representatives of the practices of (i) residential real estate, (ii) commercial real estate, and (iii) property management. The industry advisory group shall consist of licensed real estate salespersons and real estate brokers who shall be appointed by and shall meet at the direction of the Board to update the guidelines. The Board shall review and may approve educational curricula developed by an approved school or other provider of real estate education authorized by this chapter. The industry advisory group shall serve at no cost to the Board.

C. The curricula for new licensees shall include topics that new licensees need to know in their practices, including contract writing, handling customer deposits, listing property, leasing property, agency, current industry issues and trends, flood hazard areas and the National Flood Insurance Program, property owners' and condominium association law, landlord-tenant law, Board regulations, real estate-related finance, and such other topics as designated by the Board. The post-licensure education requirements of this section for new licensees shall be in lieu of the continuing education requirements otherwise specified in this chapter and Board regulations.

2007, c. 809 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?071+ful+CHAP0809>); 2011, c. 461 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?111+ful+CHAP0461>); 2015, c. 692 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?151+ful+CHAP0692>); 2018, cc. 60 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0060>), 86 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0086>).

§ 54.1-2105.02. Regulation of real estate education providers and courses.

- A. The Board may regulate any school that is established to offer real estate courses except such schools as are regulated by another state agency. Such authority shall include, but not be limited to, qualification of instructors, approval of course curricula, and requirement that such schools submit evidence of financial responsibility to ensure that these schools protect the public health, safety, and welfare.
- B. Board regulations shall include a procedure for processing applications of educational institutions, real estate professional associations, or related entities, to provide continuing education courses, which procedure, at a minimum, shall (i) provide for a broad range of subject matters suitable for the continuing education of licensed professionals in a multifamily residential and commercial office, as well as single-family residential, sales, leasing and property management; (ii) acknowledge, in writing, receipt of such applications within 10 calendar days after receipt; and (iii) provide written notification to the applicant, within 75 calendar days of receipt of the application, whether the application has been approved or disapproved, and if disapproved, the reasons therefor. In addition, the Board shall prepare a comprehensive listing of courses, pre-approved by the Board, related to the professional competency requirements for the multifamily residential and commercial office industries.

Board regulations shall include criteria for evaluating and approving continuing education course credits and for awarding credit hours for such courses, as well as procedures for ensuring the quality of real estate courses. The Board shall approve recommended course titles, content, and hours of continuing education credit developed and published by national professional real estate trade associations, unless the Board determines in writing that such titles, content, or credit hours should not be approved and specifies the reasons therefor.

2007, c. 809 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?071+ful+CHAP0809>).

§ 54.1-2105.03. Continuing education; relicensure of brokers and salespersons.

- A. Board regulations shall include educational requirements as a condition for relicensure of brokers and salespersons to whom active licenses have been issued by the Board beyond those now specified by law as conditions for licensure.
1. Brokers to whom active licenses have been issued by the Board shall be required to satisfactorily complete courses of not less than 24 hours of classroom or correspondence or other distance learning instruction during each licensing term.
- Of the total 24 hours, the curriculum shall consist of:

- a. A minimum of 11 required hours to include at least three hours of ethics and standards of conduct, two hours of fair housing, two hours of legal updates and emerging trends including flood hazard areas and the National Flood Insurance Program, two hours of real estate agency, and two hours of real estate contracts;
- b. A minimum of eight hours of courses relating to supervision and management of real estate agents and the management of real estate brokerage firms as are approved by the Board, two hours of which shall include an overview of the broker supervision requirements under this chapter and the Board regulations; and
- c. Five hours of general elective courses as are approved by the Board.

The Board may, on a year-by-year basis, adjust the required hours and course topics specified in this subdivision for the next succeeding year, applicable to a licensee in the next renewal period for his license, including the addition of topics deemed by the Board to be essential. Such designation or adjustment by the Board shall be made prior to September 1 of any given calendar year. The action of the Board in making such adjustment shall be subject to § 2.2-4012.1 (<https://law.lis.virginia.gov/vacode/2.2-4012.1/>).

The fair housing requirements shall include an update on current cases and administrative decisions under fair housing laws. If the licensee submits a notarized affidavit to the Board that certifies that he does not practice residential real estate and shall not do so during the licensing term, training in fair housing shall not be required; instead, such licensee shall receive training in other applicable federal and state discrimination laws and regulations.

2. Salespersons to whom active licenses have been issued by the Board shall be required to satisfactorily complete courses of not less than 16 hours of classroom or correspondence or other distance learning instruction during each licensing term. Of the total 16 hours, the curriculum shall consist of:

- a. A minimum of 11 required hours to include at least three hours of ethics and standards of conduct, two hours of fair housing, two hours of legal updates and emerging trends including flood hazard areas and the National Flood Insurance Program, two hours of real estate agency, and two hours of real estate contracts; and
- b. Five hours of general elective courses as are approved by the Board.

The Board may, on a year-by-year basis, readjust the required hours and course topics specified in this subdivision for the next succeeding year, applicable to a licensee in the next renewal period for his license, including the addition of topics deemed by the Board to be essential. Such designation or adjustment by the Board shall be made prior to September 1 of any given calendar year. The action of the Board in making such adjustment shall be subject to § 2.2-4012.1 (<https://law.lis.virginia.gov/vacode/2.2-4012.1/>).

3. The Board shall approve a continuing education curriculum of not less than three hours, and as of July 1, 2012, every applicant for relicensure as an active broker or salesperson shall complete at a minimum one three-hour continuing education course on the changes to residential standard agency effective as of July 1, 2011, to Article 3 (§ 54.1-2130 (<https://law.lis.virginia.gov/vacode/54.1-2130/>), et seq.) prior to renewal or reinstatement of his license. If the licensee submits a notarized affidavit to the Board that certifies that he does not practice residential real estate and shall not do so during the licensing term, training in residential representation shall not be required. A licensee who takes one three-hour continuing education class on residential representation shall satisfy the requirements for continuing education and may, but shall not be required to, take any further continuing education on residential standard agency.

The fair housing requirements shall include an update on current cases and administrative decisions under fair housing laws. If the licensee submits a notarized affidavit to the Board that certifies that he does not practice residential real estate and shall not do so during the licensing term, training in fair housing shall not be required; instead, such licensee shall receive training in other applicable federal and state discrimination laws and regulations.

4. For correspondence and other distance learning instruction offered by an approved provider, the Board shall establish the appropriate testing procedures to verify completion of the course and require the licensee to file a notarized affidavit certifying compliance with the course requirements. The Board may establish procedures to ensure the quality of the courses. The Board shall not require testing for continuing education courses completed through classroom instruction.

B. Every applicant for relicensure as an active salesperson or broker shall complete the continuing education requirements prior to each renewal or reinstatement of his license. The continuing education requirement shall also apply to inactive licensees who make application for an active license. Notwithstanding this requirement, military personnel called to active duty in the armed forces of the United States may complete the required continuing education within six months of their release from active duty.

C. The Board shall establish procedures for the carryover of continuing education credits completed by licensees from the licensee's current license period to the licensee's next renewal period.

D. The Board may grant exemptions or waive or reduce the number of continuing education hours required in cases of certified illness or undue hardship as demonstrated to the Board.

2007, c. 809 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?071+ful+CHAP0809>); 2011, c. 461 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?111+ful+CHAP0461>); 2012, c. 750 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?121+ful+CHAP0750>); 2015, c. 692 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?151+ful+CHAP0692>); 2016, c. 334 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?161+ful+CHAP0334>); 2018, cc. 60 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0060>), 86 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0086>); 2024, cc. 29 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0029>), 120 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0120>).

§ 54.1-2105.04. Education requirements; reactivation of licenses; waiver.

A. Board regulations shall include remedial educational requirements for any salesperson or broker who has been inactive for more than three years. The regulations shall require the applicant to meet the educational requirements for a salesperson or broker in effect at the time either becomes active.

B. When the license has been inactive for more than three years, the Board may waive the educational requirements for reactivation of a license under the following conditions: (i) during the time the license has been inactive, the holder of such inactive license has been engaged in an occupation whereby the knowledge of real estate would be retained or (ii) the holder of such license is a member or the spouse of a member of the armed forces of the United States who has been permanently assigned outside Virginia for a portion of the time the license has been inactive, and the holder of the inactive license remained current in the field of real estate and demonstrates this fact to the satisfaction of the Board.

C. The Board or its agent shall require proof of identity prior to an applicant taking the state examination.

2007, c. 809 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?071+ful+CHAP0809>).

§ 54.1-2105.1. Other powers and duties of the Real Estate Board.

In addition to the provisions of §§ 54.1-2105.01 (<https://law.lis.virginia.gov/vacode/54.1-2105.01/>) through 54.1-2105.04 (<https://law.lis.virginia.gov/vacode/54.1-2105.04/>), the Board shall:

1. Develop a residential property disclosure statement form for use in accordance with the provisions of the Virginia Residential Property Disclosure Act (§ 55.1-700 (<https://law.lis.virginia.gov/vacode/55.1-700/>) et seq.) and maintain such statement on its website. The Board shall also develop and maintain on its website a one-page form to be signed by the parties acknowledging that the purchaser has been advised of the disclosures listed in the residential property disclosure statement located on the Board's website; and
2. Inform licensed brokers, in a manner deemed appropriate by the Board, of the broker's requirement, pursuant to § 54.1-2109 (<https://law.lis.virginia.gov/vacode/54.1-2109/>), to designate another licensed broker to carry on the business for up to 180 days for the sole purpose of concluding the business of such designating broker in the event of the designating broker's death or disability.

1993, c. 958; 2000, c. 759 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?001+ful+CHAP0759>); 2007, cc. 265 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?071+ful+CHAP0265>), 809 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?071+ful+CHAP0809>); 2008, cc. 851 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?081+ful+CHAP0851>), 871 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?081+ful+CHAP0871>); 2011, c. 461 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?111+ful+CHAP0461>); 2014, cc. 24 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?141+ful+CHAP0024>), 705 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?141+ful+CHAP0705>); 2018, cc. 60 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0060>), 86 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0086>); 2020, c. 749 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?201+ful+CHAP0749>); 2022, c. 725 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?221+ful+CHAP0725>).

§ 54.1-2105.2. Cease and desist orders for unlicensed activity; civil penalty.

- A. Notwithstanding any other provision of law, the Board may issue an order requiring any person to cease and desist from acting as a real estate broker or salesperson when such person is not licensed by the Board in accordance with this chapter. The order shall be effective upon its entry and shall become final unless such person files an appeal with the Board in accordance with the Administrative Process Act (§ 2.2-4000 (<http://law.lis.virginia.gov/vacode/2.2-4000/>) et seq.) within 21 days of the date of entry of the order.
- B. If the person fails to cease and desist the unlicensed activity after entry of an order in accordance with subsection A, the Board may refer the matter for enforcement pursuant to § 54.1-306 (<http://law.lis.virginia.gov/vacode/54.1-306/>).
- C. Any person engaging in unlicensed activity shall be subject to further proceedings before the Board and the Board may impose a civil penalty not to exceed \$1,000 for any real estate transaction or the compensation received from any such real estate transaction, whichever is greater. Any penalties collected under this section shall be paid to the Literary Fund after deduction of the administrative costs of the Board in furtherance of this section.

2005, c. 437 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?051+ful+CHAP0437>).

§ 54.1-2106. Repealed.

§ 54.1-2106.1. Licenses required.

- A. No business entity, other than a sole proprietorship, shall act, offer to act, or advertise to act, as a real estate firm without a real estate firm license from the Board. Such firm may be granted a license in a fictitious name. No business entity shall be granted a firm license unless (i) every managing member of a limited liability company, officer of a corporation, partner within a partnership, or associate within an association who actively participates in the firm brokerage business holds a license as a real estate broker; and (ii) every employee or independent contractor who acts as a salesperson for such business entity holds a license as a real estate salesperson or broker. An individual holding a broker's license may operate a real estate brokerage firm which he owns as a sole proprietorship without any further licensure by the Board, although such individual shall not operate the brokerage firm in a fictitious name. However, nothing herein shall be construed to prohibit a broker operating a brokerage firm from having a business entity separate from the brokerage firm for such broker's own real estate business, provided that such separate business entity otherwise complies with this section. A non-broker-owned sole proprietorship shall obtain a license from the Board.
- B. No individual shall act as a broker without a real estate broker's license from the Board. An individual who holds a broker's license may act as a salesperson for another broker. A broker may be an owner, member, or officer of a business entity salesperson as defined in subsection C.
- C. No individual shall act as a salesperson without a salesperson's license from the Board. A business entity may act as a salesperson with a separate business entity salesperson's license from the Board. No business entity shall be granted a business entity salesperson's license unless every owner or officer who actively participates in the brokerage business of such entity holds a license as a salesperson or broker from the Board. The Board shall establish standards in its regulations for the names of business entity salespersons when more than one licensee is an owner or officer.
- D. No group of individuals consisting of one or more real estate brokers or real estate salespersons, or a combination thereof, shall act as a real estate team without first obtaining a business entity salesperson's license from the Board. A real estate team may hire one or more unlicensed assistants, as employees or independent contractors, as otherwise provided by law.
- E. If any principal broker maintains more than one place of business within the Commonwealth, such principal broker shall be required to obtain a branch office license from the Board for each additional place of business maintained other than his primary place of business noted on the firm license application. A copy of the branch office license shall be kept on the premises of the branch office. No branch office license shall be required for (i) a location that the principal broker, or those employed by or affiliated as an independent contractor with the principal broker, does not own, lease, or maintain exclusive access to, maintenance of, and control of, unless it is held out to the public as a location where such persons or entities are regularly engaging in the activities of a real estate broker or salesperson; (ii) a motor vehicle or watercraft; (iii) a place that is solely devoted to advertising real estate matters of a general nature or to making a real estate broker's business name generally known such as a trade show or expo; (iv) a residence, unless it is held out to the public as a location where the principal

broker, or those employed by or affiliated as an independent contractor with the principal broker, is regularly engaging in the activities of a real estate broker or salesperson; (v) a post office box, mail drop location, or other similar facility; or (vi) a public location such as a coffee shop or restaurant.

1996, c. 993 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?961+ful+CHAP0993>); 1998, c. 265 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?981+ful+CHAP0265>); 1999, cc. 82 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?991+ful+CHAP0082>), 105 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?991+ful+CHAP0105>); 2008, c. 319 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?081+ful+CHAP0319>); 2012, c. 750 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?121+ful+CHAP0750>); 2018, cc. 223 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0223>), 224 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0224>); 2019, cc. 179 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?191+ful+CHAP0179>), 395 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?191+ful+CHAP0395>); 2024, cc. 327 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0327>), 352 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0352>).

§ 54.1-2106.2. Certification of audit on renewal of firm or sole proprietorship license.

When submitting a renewal of any firm or sole proprietorship license, the principal broker or supervising broker of the firm shall certify that he has audited or has caused to be audited the operations, policies, and procedures of the firm to assure compliance with the provisions of this chapter and with regulations adopted by the Board. Such audit shall be conducted at least once during each term of licensure, and the completed audit form developed by the Board, signed by the principal or supervising broker, shall be kept on the premises of the firm or sole proprietorship and shall be produced for inspection or copying upon request by an authorized agent of the Board.

2012, c. 750 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?121+ful+CHAP0750>).

§ 54.1-2107. Repealed.

Repealed by Acts 2024, cc. 459 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0459>) and 621 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0621>), cl. 2, effective July 1, 2024.

§ 54.1-2108. Protection of escrow funds, etc., held by broker.

No licensee or any agent of the licensee shall divert or misuse any funds held in escrow or otherwise held by him for another. Where escrow funds or other funds are held by the licensee or his agents and the Real Estate Board or its agents have reason to believe that the licensee is not able to adequately protect the interests of persons involved, or his conduct threatens their interests, the Board shall file a petition with any court of record having equity jurisdiction over the licensee or any of the funds held by him stating the facts upon which it relies. The court may temporarily enjoin further activity by the licensee and take such further action as shall be necessary to conserve, protect and disburse the funds involved, including the appointment of a receiver. If a receiver is appointed his expenses and a reasonable fee as determined by the court shall be paid by the licensee. If the court finds him unable to make such payment, the Board shall determine whether the expenses and fees shall be paid from the Virginia Real Estate Transaction Recovery Fund or from funds received by the Board. Such determination shall be made within thirty days of the Board's receipt of the court-approved receiver invoices. If the court finds that the licensee was without fault and that he is found not to have violated any provisions of this chapter or of the regulations of the Board, then the receiver's expenses and fees shall be paid by the Board. Such payments shall be paid from funds received by the Board.

1973, c. 487, § 54-764.5; 1988, c. 765; 1997, c. 82 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?971+ful+CHAP0082>); 1998, c. 29 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?981+ful+CHAP0029>).

§ 54.1-2108.1. Protection of escrow funds, etc., held by a real estate broker in the event of foreclosure of real property; required deposits.

A. Notwithstanding any other provision of law:

1. If a licensed real estate broker or an agent of such licensee is holding escrow funds for the owner of real property and such property is foreclosed upon, the licensee or agent shall have the right to file an interpleader action pursuant to § 16.1-77 (<https://law.lis.virginia.gov/vacode/16.1-77/>).

2. If a single-family residential dwelling unit is foreclosed upon, and at the date of the foreclosure sale there is a real estate purchase contract to buy such property and such contract provides that the earnest money deposit held in escrow by a licensee shall be paid to a party to the contract in the event of a termination of the real estate purchase contract, the foreclosure shall be deemed a termination of the real estate purchase contract and the licensee or an agent of the licensee may, absent any default on the part of the purchaser, disburse the earnest money deposit to the purchaser pursuant to such provisions of the real estate purchase contract without further consent from, or notice to, the parties.

3. If a single-family residential dwelling unit is foreclosed upon and there is a tenant in the dwelling unit on the date of the foreclosure sale and the landlord is holding a security deposit of the tenant, the landlord shall handle the security deposit in accordance with applicable law, which requires the holder of the landlord's interest in the dwelling unit at the time of termination of tenancy to return any security deposit and any accrued interest that is duly owed to the tenant, whether or not such security deposit is transferred with the landlord's interest by law or equity, and regardless of any contractual agreements between the original landlord and his successors in interest. Nothing herein shall be construed to prevent the landlord from making lawful deductions from the security deposit in accordance with applicable law.

4. If a single-family residential dwelling unit is foreclosed upon pursuant to § 55.1-1237 (<https://law.lis.virginia.gov/vacode/55.1-1237/>), and there is a tenant in such dwelling unit on the date of the foreclosure sale, the successor in interest who acquires the dwelling unit at the foreclosure sale shall assume such interest subject to the following:

- a. If the successor in interest acquires the dwelling unit for the purpose of occupying such unit as his primary residence, the successor in interest shall provide written notice to the tenant, in accordance with the provisions of § 55.1-1202 (<https://law.lis.virginia.gov/vacode/55.1-1202/>), notifying the tenant that the rental agreement is terminated and that the tenant must vacate the dwelling unit on a date not less than 90 days after the date of such written notice.
- b. If the successor in interest acquires the dwelling unit for any other purpose, the successor in interest shall acquire the dwelling unit subject to the rental agreement and the tenant shall be permitted to occupy the dwelling unit for the remaining term of the lease, provided, however, that the successor in interest may terminate the rental agreement pursuant to § 55.1-1245 (<https://law.lis.virginia.gov/vacode/55.1-1245/>) or the terms of the rental agreement. The successor in interest shall provide written notice of such termination to the tenant in accordance with the provisions of § 55.1-1202 (<https://law.lis.virginia.gov/vacode/55.1-1202/>).

If rent is paid to a real estate licensee acting on behalf of the landlord as a managing agent, such property management agreement having been entered into prior to and in effect at the time of the foreclosure sale, the managing agent may collect the rent and shall place it into an escrow account by the end of the fifth business banking day following receipt.

5. If a single-family residential dwelling unit is foreclosed upon, and at the date of the foreclosure sale there is a written property management agreement between a landlord and a real estate licensee licensed pursuant to the provisions of § 54.1-2106.1 (<https://law.lis.virginia.gov/vacode/54.1-2106.1/>), the foreclosure shall convert the property management agreement into a month-to-month agreement between the successor landlord and the real estate licensee acting as a managing agent, except in the event that the terms of the original property management agreement between the landlord and the real estate licensee acting as a managing agent require an earlier termination date. Unless altered by the parties, the terms of the original property management agreement that existed between the landlord and the real estate licensee acting as a managing agent shall govern the agreement between the successor landlord and the real estate licensee acting as a managing agent. The property management agreement may be terminated by either party upon provision of written notice to the other party at least 30 days prior to the intended termination date. Any funds received or held by the real estate licensee acting as a managing agent shall be disbursed only in accordance with the terms of the property management agreement or as otherwise provided by law.

B. Notwithstanding any other provision of law:

1. Any rent paid to a real estate licensee acting on behalf of a landlord client in connection with the lease shall be placed in an escrow account by the end of the fifth business banking day following receipt, regardless of when received, unless otherwise agreed to in writing by the principals to a lease transaction.
2. Any security deposits paid to a real estate licensee acting on behalf of a landlord client in connection with the lease shall be placed in an escrow account by the end of the fifth business banking day following receipt, unless otherwise agreed to in writing by the principals to a lease transaction.
3. Any application deposit as defined by § 55.1-1200 (<https://law.lis.virginia.gov/vacode/55.1-1200/>), paid by a prospective tenant for the purpose of being considered as a tenant for a dwelling unit to a real estate licensee acting on behalf of a landlord client shall be placed in escrow by the end of the fifth business banking day following approval of the rental application by the landlord, unless otherwise agreed to in writing by the principals to a lease transaction.
4. Such funds shall remain in an escrow account until disbursed in accordance with the terms of the lease, the property management agreement, or the applicable statutory provisions, as applicable.
5. Except in the event of foreclosure, if a real estate licensee acting on behalf of a landlord client as a managing agent elects to terminate the property management agreement, the licensee may transfer any funds held in escrow by the licensee on behalf of the landlord client to the landlord client without his consent, provided that the real estate licensee provides written notice to each tenant that the funds have been so transferred. In the event of foreclosure, a real estate licensee shall not transfer any funds to a landlord client whose property has been foreclosed upon.
6. A real estate licensee acting on behalf of a landlord client as a managing agent who complies with the provisions of this section shall have immunity from any liability for such compliance, in the absence of gross negligence or intentional misconduct.

2010, c. 181 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?101+ful+CHAP0181>); 2013, c. 489 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?131+ful+CHAP0489>); 2017, cc. 67 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?171+ful+CHAP0067>), 394 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?171+ful+CHAP0394>); 2020, c. 1014 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?201+ful+CHAP1014>); 2021, Sp. Sess. I, c. 426 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?212+ful+CHAP0426>).

§ 54.1-2108.2. Protection of escrow funds, etc., held by a real estate broker in the event of termination of a real estate purchase contract.

Notwithstanding any other provision of law, for purchase transactions:

1. Upon the ratification of a contract, an earnest money deposit received by the principal broker or supervising broker, or an agent of such principal broker or supervising broker, that is to be held in the firm's escrow account shall be placed in such escrow account by the end of the fifth business banking day following ratification, unless otherwise agreed to in writing by the principals to the transaction, and shall remain in that account until the transaction has been consummated or terminated.

2. If a principal broker or supervising broker, or an agent of such principal broker or supervising broker, receives an earnest money deposit that will not be held in the firm's escrow account, the principal broker or supervising broker shall ensure that the earnest money deposit is delivered to the escrow agent named in the contract by the end of the fifth business banking day following receipt of the deposit, unless otherwise agreed to in writing by the principals to the transaction.

3. In the event that the transaction is not consummated, the principal broker or supervising broker shall hold such funds in escrow until (i) all principals to the transaction have agreed in a written agreement as to their disposition, upon which the funds shall be returned to the agreed-upon principal as provided in such written agreement; (ii) a court of competent jurisdiction orders such disbursement of the funds; (iii) the funds are successfully interpleaded into a court of competent jurisdiction pursuant to this section; or (iv) the broker releases the funds to the principal to the transaction who is entitled to receive them in accordance with the clear and explicit terms of the contract that established the earnest money deposit.

At the option of a broker, written notice may be sent by the broker that release of such funds shall be made unless a written protest is received from the principal who is not receiving the funds by such broker within 15 calendar days of the date of such notice. Notice of a disbursement shall be given to the parties to the transaction in accordance with the contract, but if the contract does not specify a method of delivery, one of the following methods complies with this section:

(a) hand delivery; (b) United States mail, postage prepaid, provided that the sender retains sufficient proof of mailing, which may be either a United States postal certificate of mailing or a certificate of service prepared by the sender confirming such mailing; (c) electronic means, provided that the sender retains sufficient proof of the electronic delivery, which may be an electronic receipt of delivery, a confirmation that the notice was sent by facsimile, or a certificate of service prepared by the sender confirming the electronic delivery; or (d) overnight delivery using a commercial service or the United States Postal Service. Except as provided in the clear and explicit terms of the contract, no broker shall be required to make a determination as to the party entitled to receive the earnest money deposit. A broker who complies with this section shall be immune from liability to any of the parties to the contract.

4. A principal broker or supervising broker holding escrow funds for a principal to the transaction may seek to have a court of competent jurisdiction take custody of disputed or unclaimed escrow funds via an interpleader action pursuant to § 16.1-77 (<https://law.lis.virginia.gov/vacode/16.1-77/>).

5. If a principal broker or supervising broker is holding escrow funds for the owner of real property and such property is foreclosed upon by a lender, the principal broker or supervising broker shall have the right to file an interpleader action pursuant to § 16.1-77 (<https://law.lis.virginia.gov/vacode/16.1-77/>) and otherwise comply with the provisions of § 54.1-2108.1 (<https://law.lis.virginia.gov/vacode/54.1-2108.1/>).

2018, cc. 60 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0060>), 86 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0086>); 2019, cc. 179 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?191+ful+CHAP0179>), 395 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?191+ful+CHAP0395>); 2022, c. 380 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?221+ful+CHAP0380>).

§ 54.1-2109. Death or disability of a real estate broker.

- A. Any licensed broker who is engaged in a sole proprietorship or who is the only licensed broker in a business entity listed in clause (i) of subsection A of § 54.1-2106.1 (<https://law.lis.virginia.gov/vacode/54.1-2106.1/>) shall designate another licensed broker to carry on the business for up to 180 days for the sole purpose of concluding the business of such designating broker in the event of the designating broker's death or disability. Such designation shall be made at the time of application for broker licensure.
- B. Only in the event that the designated broker named pursuant to subsection A is unable or unwilling to perform the act of concluding the business, the Real Estate Board shall, within 30 days of receiving written notification of a broker's death or disability, grant approval to one of the following individuals to carry on the business of the deceased or disabled broker for up to 180 days for the sole purpose of concluding the business:
1. A personal representative qualified by the court to administer the deceased broker's estate;
 2. An agent designated under a power of attorney of the deceased or disabled broker, which designation expressly references this section;
 3. The executor nominated in the deceased broker's will;
 4. An adult family member of the deceased or disabled broker; or
 5. An employee of, or an independent contractor affiliated with, the deceased or disabled broker.
- C. In the event that none of the individuals in subdivisions B 1 through 5 is available or suitable, the Board may appoint any other licensed broker, with the written consent of such broker, within 30 days of receiving written notification of a broker's death or disability, to allow such appointed broker to carry on the business of the deceased or disabled broker for the sole purpose of concluding the business within 180 days.

1984, c. 283, § 54-731.3; 1988, c. 765; 2014, cc. 24 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?141+ful+CHAP0024>), 705 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?141+ful+CHAP0705>); 2019, cc. 179 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?191+ful+CHAP0179>), 395 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?191+ful+CHAP0395>).

[bin/legp604.exe?191+ful+CHAP0395](#)); 2020, c. 383 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?201+ful+CHAP0383>); 2022, c. 725 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?221+ful+CHAP0725>).

§ 54.1-2110. Resident broker to maintain place of business in Virginia.

- A. Every resident real estate broker shall maintain a place of business in the Commonwealth.
- B. Any nonresident real estate broker residing in a state that mandates resident real estate brokers of the Commonwealth to maintain a place of business in such mandating state shall maintain a place of business in the Commonwealth.
- C. Every principal broker shall have readily available to the public in the primary place of business the firm license, the principal broker license, and the license of every salesperson and broker active with the firm. Each branch office shall have readily available to the public the branch office license and a roster of every salesperson or broker assigned to that branch office.

Code 1950, § 54-733; 1981, c. 34; 1988, c. 765; 2024, cc. [327 \(http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0327\)](#), [352 \(http://legacylis.virginia.gov/cgi-bin/legp604.exe?241+ful+CHAP0352\)](#).

§ 54.1-2110.1. Duties of supervising broker.

- A. Each place of business, each branch office, and each real estate team shall be supervised by a supervising broker. The supervising broker shall exercise reasonable and adequate supervision of the provision of real estate brokerage services by associate brokers and salespersons assigned to the branch office or real estate team. The supervising broker may designate another broker to assist in administering the provisions required by this section, but such designation shall not relieve the supervising broker of responsibility for the supervision of the acts of all licensees assigned to the branch office or real estate team.
- B. As used in this section, "reasonable and adequate supervision" by the supervising broker shall include the following:
 - 1. Being available to all licensees under his supervision at reasonable times to review and approve all documents, including leases, contracts, brokerage agreements, and advertising as may affect the firm's clients and business;
 - 2. Ensuring the availability of training opportunities and that the office has written procedures and policies that provide clear guidance in the following areas:
 - a. Handling of escrow deposits in compliance with law and regulation;
 - b. Complying with federal and state fair housing laws and regulations if the firm engages in residential brokerage, residential leasing, or residential property management;
 - c. Advertising and marketing of the brokerage firm and any affiliated real estate teams or business entities;
 - d. Negotiating and drafting of contracts, leases, and brokerage agreements;
 - e. Exercising appropriate oversight and limitations on the use of unlicensed assistants, whether as part of a team arrangement or otherwise;

- f. Creating agency or independent contractor relationships and elements thereof;
 - g. Distributing information on new or amended laws or regulations; and
 - h. Disclosing required information relating to the physical condition of real property;
3. Ensuring that the brokerage services are carried out competently and in accordance with the provisions of this chapter;
 4. Undertaking reasonable steps to ensure compliance by all licensees assigned to a branch office with the provisions of this chapter and applicable Board regulations, including ensuring that licensees possess a current license issued by the Board;
 5. Ensuring that affiliated real estate teams or business entities are operating in accordance with the provisions of this chapter and applicable Board regulations;
 6. Ensuring that brokerage agreements include the name and contact information of the supervising broker; and
 7. Maintaining the records required by this subsection for three years. The records shall be furnished to the Board's agent upon request.
- C. Any supervising broker who resides more than 50 miles from a branch office under his supervision, having licensees who regularly conduct business assigned to such branch office, shall certify in writing quarterly on a form provided by the Board that the supervising broker has complied with the requirements of this section.
 - D. As a condition of the renewal of a branch office license, the supervising broker shall provide to the Board the name and license number of each real estate licensee affiliated with the branch office at the time of the renewal in a format deemed acceptable by the Board.

2012, c. 750 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?121+ful+CHAP0750>); 2016, c. 334 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?161+ful+CHAP0334>); 2018, cc. 223 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0223>), 224 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?181+ful+CHAP0224>).

§ 54.1-2111. Consent to suits and service of process by nonresidents; manner of service.

- A. Every nonresident applicant shall file with the Real Estate Board an irrevocable consent that suits and actions may be commenced against such applicant in the proper court of any county or city of this Commonwealth in which a cause of action may arise or in which the plaintiff may reside, by the service of any process or pleading authorized by the laws of this Commonwealth on the Director of the Department of Professional and Occupational Regulation. The consent shall stipulate that such service of process or pleadings on the Director shall be taken and held in all courts to be as valid and binding as if due service had been made upon the applicant in the Commonwealth of Virginia.
- B. Any process or pleadings served upon the Director shall be filed by the Director in his office and a copy thereof immediately forwarded by registered mail to the main office of the licensee at the last known address.

Code 1950, §§ 54-773, 54-774; 1988, c. 765; 1993, c. 499.

§ 54.1-2111.1. Voluntary compliance program; real estate brokers.

- A. The Board shall promulgate regulations to allow the audit of the practices, policies, and procedures of a real estate broker licensed by the Board, either through a third party retained by the real estate broker or through a self-audit, and if the broker is determined by such audit to not be in compliance with the provisions of this chapter or applicable regulations of the Board, to allow for the broker to enter into a voluntary compliance program to bring the broker's practices, policies, and procedures into compliance with applicable laws and regulations. The broker shall notify the Board of the discovery of any noncompliance within 30 days after discovery and shall submit a written statement with a plan to bring the practices, policies, and procedures into voluntary compliance, which completion of such voluntary compliance shall not exceed a period of 90 days from the date that the plan is submitted to the Board.
- B. Certification by the broker or auditor of such broker shall constitute immunity from an enforcement action under this chapter or under the applicable regulations of the Board.
- C. The provisions of this section do not apply if the noncompliance by the broker was intentional or a result of gross negligence of the broker, including any actions by an unlicensed employee negotiating the provisions of a rental agreement as prohibited under subsection C of § 54.1-2103 (<https://law.lis.virginia.gov/vacode/54.1-2103/>).

2010, cc. 373 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?101+ful+CHAP0373>), 637 (<http://legacylis.virginia.gov/cgi-bin/legp604.exe?101+ful+CHAP0637>); 2025, cc. 463 (<https://lis.virginia.gov/bill-details/20251/HB2557/text/CHAP0463>), 466 (<https://lis.virginia.gov/bill-details/20251/SB993/text/CHAP0466>).